

towards market-linked and transparent products such as mutual funds.

Monthly SIP contributions touched ₹21,262 crore in June 2024, a steep 2.6x jump over ₹8,122 crore in June 2019. Led by healthy SIP inflows, MFs are now important contributors to market liquidity. In the 12 months to June 2024, net inflow from DIIs was ₹3.22 lakh crore. However, there was a net outflow of ₹1.51 lakh crore from foreign portfolio investors (FPIs). DII inflows are

dominated by MFs.

Flows from the hinterland:

While the MF growth story has been on for a while, what has been heartening to see is that the inflows are coming from smaller cities at a much faster pace than the established top ones.

Currently, the Top 30 (T30) cities contribute nearly 82% of the total MF AUM, while the Beyond 30 (B30) cities account for the rest. Assets from B30 cities have risen 47% year-

on-year (YoY) to ₹11.13 lakh crore as of June 2024. The AUM from B30 cities has risen at a CAGR of 23% between December 2018 and June 2024, while assets from T30 cities increased annually at a slower pace of 18% over the same period.

And B30 investors are willing to take risks. In terms of asset mix, B30 cities have 85:15 ratio of equity to debt schemes, while for T30, it is 46:54. The equity proportion for B30 has risen from 79% in June 2023 to its current level (of 85).

States such as Uttar Pradesh and Rajasthan are now among the top 10 AUM generating states in the country and are growing much faster than the overall industry.

Finally, from the asset management companies' (AMCs') perspective, the contribution of players outside the Top 10 is steadily increasing.

From accounting for 16.4% of the overall AUM in December 2019, the share of AMCs outside of the Top 10 has increased to 22.1% as of June 2024, indicating that these companies are catching up swiftly and ensuring a more diffused market share.

The one statistic that the industry would look to improve upon is the holding period in equity-oriented schemes.

Only 53.3% of the industry's equity assets remain invested for more than two years, which needs to increase sharply.

With a fast-growing economy and a young country with a large workforce and increasing disposable incomes, these trends suggest that the potential for mutual funds to percolate further into the country is very high and ₹100 lakh crore may be within sniffing distance.

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The author is MD & CEO, Edelweiss Asset Management Limited. Views are personal